

The Scaling Funnel

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Seed → Series → scale survival rates

PROFESSIONAL DEFINITION

The Scaling Funnel depicts the steep attrition of startups across funding stages, from seed through to scale, illustrating the low survival rates and what distinguishes survivors.

WHO DEVELOPED IT

A construct drawn from venture-financing data and survival analysis of startups.

WHY IT WAS DEVELOPED

It was developed to set realistic expectations about scaling and to identify what separates companies that survive each stage.

FIGURE 1 · THE SCALING FUNNEL

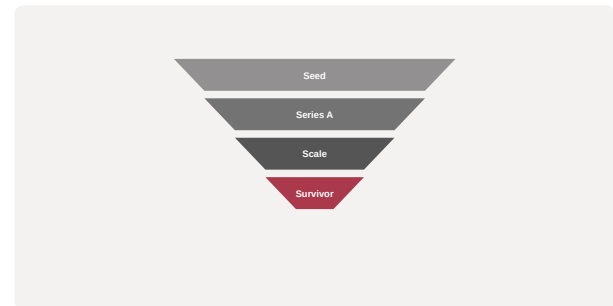


Figure 1. A schematic of the The Scaling Funnel as applied in BARBM312 (illustrative).

HOW IT IS USED

A company's stage and survival odds are assessed; effort focuses on the factors — defensibility, unit economics — that aid survival.

WHEN IT IS USED

When planning and assessing the scaling journey.

BY WHOM IT IS USED

Founders and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It makes the brutal attrition of scaling explicit, focusing attention on the determinants of survival rather than valuation alone.

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SOURCES (HARVARD REFERENCING STYLE)

CB Insights (2021) 'The top 12 reasons startups fail'.

Gompers, P. and Lerner, J. (2004) The Venture Capital Cycle. Cambridge: MIT Press.